

3-Year Growth Strategy For Taikang

喝水我只用贝恩杯

2024 Bain Case Competition | Team 喝水我只用贝恩杯

Executive Summary: We recommend Taikang to implement recommended product strategy, location and omni-channel strategy toachieve 31.01 bn RMB rev.

Overview

Market overview	Customer profiling	Competitive Landscape	Experiences
➢ CCRC is promising in next 5 years ➢ But market is still in its nascent stage	➢ Current target is well-educated, high-income seniors in poor health ➢ Location & medical facilities are important KPCs	➢ Home aging remains the main form ➢ Increasing competitors in institutionalized aging	➢ Maintaining ➢ Occupancy ➢ Controlling costs

Implication

Selon McKinsey's MECE, 5 strategy are led by the objective of promote profitability and growth

Strategy

A Promote profitability

- ***Cost saving***
  Efficient resources management
- ***Income increasing***
  Quality & value strategy
  Quantity strategy

B Promote profitability

- ***Product strategy***
  Activities, health care and meals
  Convenience & personalization
- ***Location strategy***
  Yangtze River Delta & Sichuan and Chongqing region
- ***Omni-channel strategy***
  Community operation upgrade
  Offline marketing operation

Forecast

Under our strategy ,Taikang is expected to achieve 31.01 bn incremental revenue from 2020 to 2023

AGENDA

Market Trend Analysis

- Market Overview
- Customer Analysis
- Competitive Landscape

Strategy Design

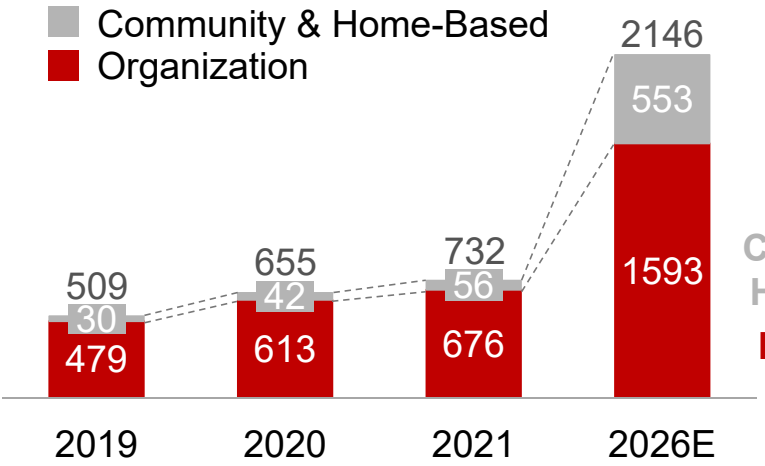
Implementation



With impetus from both the supply and demand sides, the senior living & care market is rapidly expanding but still in the initial stage.

Key Market Trend

2019-2026E China commercial senior living & care market*(100Mn RMB)*



	CAGR (19-21)	CAGR (21-26E)
Total	19.8%	27.6%
Community & Home-Based	36.1%	74.2%
Institutional Care	18.8%	18.7%

Key Drivers

Demand Side

1. Aged dependency ratio rises rapidly with a high peak & Increasing pressure of elderly care at home
   → **Demand boosts**
2. As the economy develops, the health status and income level of seniors improve
   → **Demand diversification**

Supply Side

1. Various nongovernmental investments lay out strategies in this sector
   → **Capital injection**
2. Vigorous support to senior living & care industry from public policies
   → **Supply expansion**

CCRC is promising in next 5 years

Market Prospect

- With **an expected CAGR of 20%**, it is estimated that the market scale will **exceed 200 billion yuan by 2026**.
- In the long term, with the gradual establishment of market operation order and the continuous deepening of customer penetration, **the growth room of the market is enormous**.

Attributes of CCRC Model

- The CCRC, an innovative model that **integrates community & home-based care, institutional care and other forms**

Substantial market potential of CCRC model

…but market is still in its nascent stage, exhibiting an immature and inadequate level of development

Insufficient market education	Manpower limitations	Inadequate quality of care services
75% of seniors are at the stage of mere awareness, with only 12% conducting on-site visits	Caregiving requires many skilled professionals, but the quantity & quality of caregivers are limited	It's still challenging to develop personalized care plans for each senior

Source: iReserch, NielsenIQ & DAJIA Insurance, 喝水只用贝恩analysis

We have identified CCRC's target customer as well-educated, high-income seniors in poor health, whose KPCs are location & medical facilities mainly.

Target Customer

Deomgraphic

Age	70-79	80-84	>85	Advanced age
Income	Higher	High	Mid	High income
Education	Senior Secondary	Associate Degree	Bachelor	Well-educated
Health	Self-care	ADL Disability	Dementia	Poor health

Customer Profile



Grandpa Zhang, 85, a retired university professor, widowed
"It's cozy for me to get along with young students specializing in gerontology. Living here also enlarges my network of contacts."



Grandma Li, 83, a retired civil servant, widowed
"After an accidental fall, I realized it's necessary to find a place with better security. And hardware here meets my requirements."

Current Target

KPCs & Behaviors



Mr. Ma, a senior consultant for a large pension enterprise
"I am very anxious and conflicted about the idea of sending my mom here because she has always been against it."



Mr. Luo, three-month inspection of the CCRC
"I'm still a bit worried that if I bring my parents here, others might criticize me for not being filial."

Future Target

Key Purchasing Criteria

The top five factors that aged customers concern most

Location	the distance to offspring's dwelling	17%
Medical Facilities	medical ward & general hospital	19%
Standard of Catering Service	reflect service quality most directly	12%
On-site Experience	reflect real operational status	12%
Investment Subject	trust in state-owned enterprises	10%

Customer Behaviors

❶ ***Immediate Demand***

- Emergency rescue at night or be in poor health → **secure habitats & improved healthcare system**
- **Accidents** always constitute critical junctures.

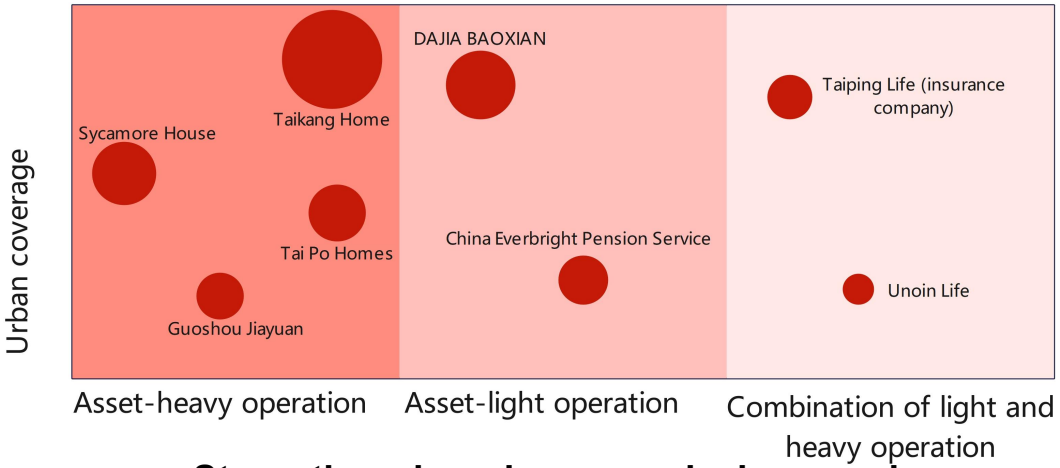
❷ ***Satisfy Certain Deeds***

- **Establish new connections and expand social circle** in order to reduce loneliness.
- **Reduce household chores and other daily trivialities** to conserve energy expenditure.
- **Alleviate the burden on offspring** and provide them with psychological assurances.

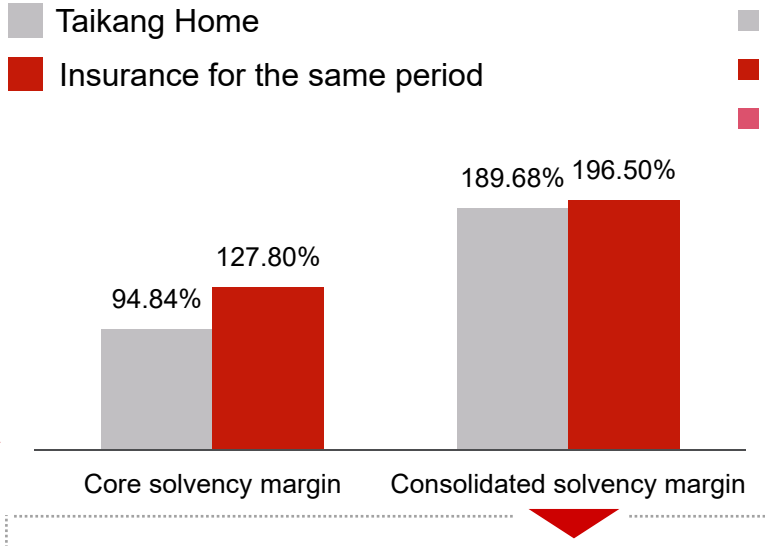
Source: AgeClub, 喝水只用贝恩analysis

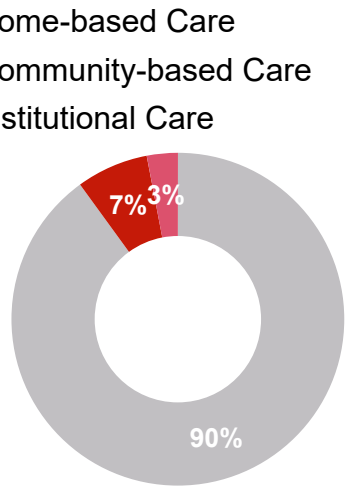
Home Aging Remains the Main Form, Increasing Competitors in Institutionalized Aging

Competitive Landscape



Heavy asset commitment leads to high investment risk





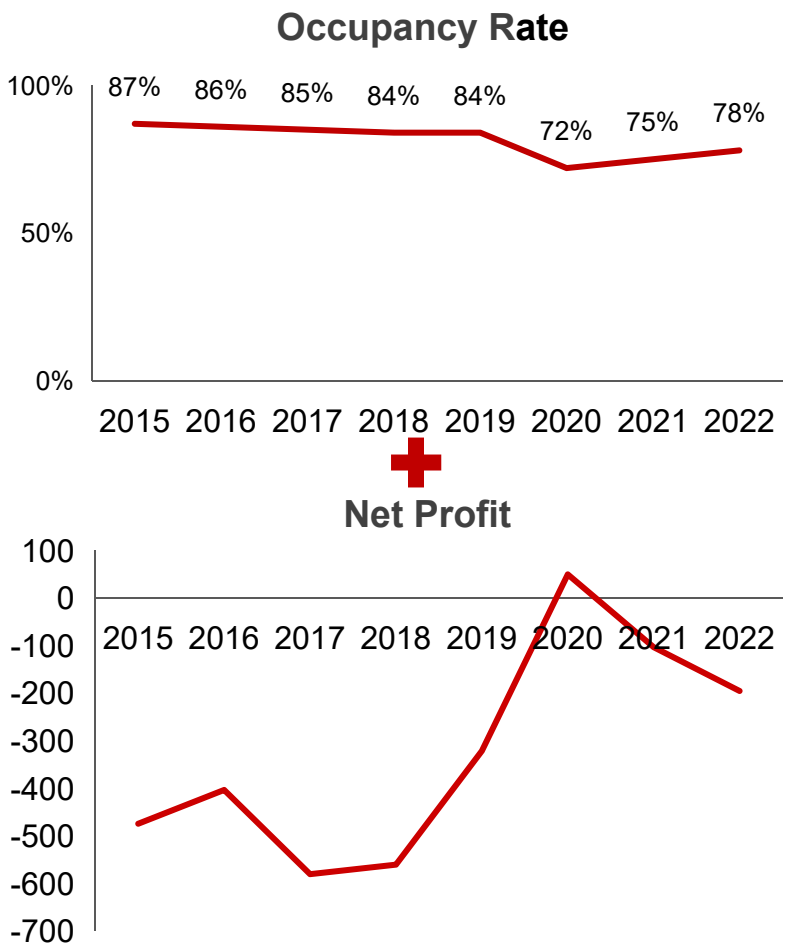
Strength and weakness analysis on major competitors

	Taikang Home	CN TAIPING	Ping An Pension Industry Equity Investment Fund
Comp			
Model	Wholly-owned Model	Cooperation Model with developers	Equity Investment Fund Model
Pros	Asset-heavy Controllability, autonomy & flexibility	Dispersible risks Mutual advantages harmonized	Low cost Convenient Flexible
Cons	Lack of experience in real estate High investment risk	Poor controllability High coordination costs	Weak controllability Narrow applicability

- ***Current status***: Heavy asset model is easy to **unify the management**, conducive to the expansion of the elderly health ecosystem. Asset-light model has thinner profits.
- ***Challenge***: Heavy asset model requires **large-scale capital with a long cycle**, while light asset model has a quicker return of capital.
- ***Establishing competitive advantages***: While retaining high-end self-built communities, **expanding the coverage of senior care services** through cooperation and leasing.

Maintaining Occupancy and Controlling Costs Are Key to Senior Living Community Profitability

A Brookdale, the largest for-profit CCRC operator in the U.S., is consistently **below 90% occupancy** and has **been in the red** for multiple years



Competitive market landscape

Blind expansion

- Referring to the U.S. experience, the model of investing in building and renting out senior living communities has good investment returns.
- But due to the **long investment period**, the profitability of operating a senior living community is greatly affected by the **occupancy rate**.

B **Comparison of the Difficulty** of Moving into Major Retirement Communities in China

Difficult	平安人寿	泰康人寿 TAIKANG LIFE
Medium	CHINA LIFE 中国人寿	太平人寿 TAIPING LIFE; 复星保德信 Pramerica FOSUN
Easy	恒大人寿 EVERGRANDE LIFE	光大永明人寿 Sun Life Everbright Life

Due to higher costs, the value for money is too low for the relatively healthy elderly with limited financial resources and has limited appeal

Centralized provision of a full range of quality elderly services

AGENDA

Market Trend Analysis

Strategy Design

- Cost Saving
- Location Strategy
- Product Strategy
- Omni-channel Strategy

Implementation



Cost savings and income-increase benefits Taikang, due to the formula of its Gross Profit as well as the experience of foreign brother chip

Pain point

Strategy

Cost saving

High-labour-costs

3000-7000 RMB /caregiver / month

18.91

High cost for each order

retained profit in 2023:-9.75million
CCRC business income ***260.16 million***

Product sales is limited

The Pension **industry** is in its early stages

- ***7%*** customers choose CCRC

Hard to increase its **product unit price**

- strivers prefer high value
- fixed assets cost model

Efficient resources management

Optimization personnel capacity

technology → 5-10 times of productivity

Release the expansion

more attention with resource integration
enrich existing services

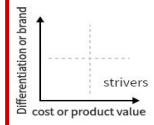
Keep on Market advance

Efficient resources management

Change payment methods of residents

Flexible payment option enhence their paying-ability

Upgrade the Product Value

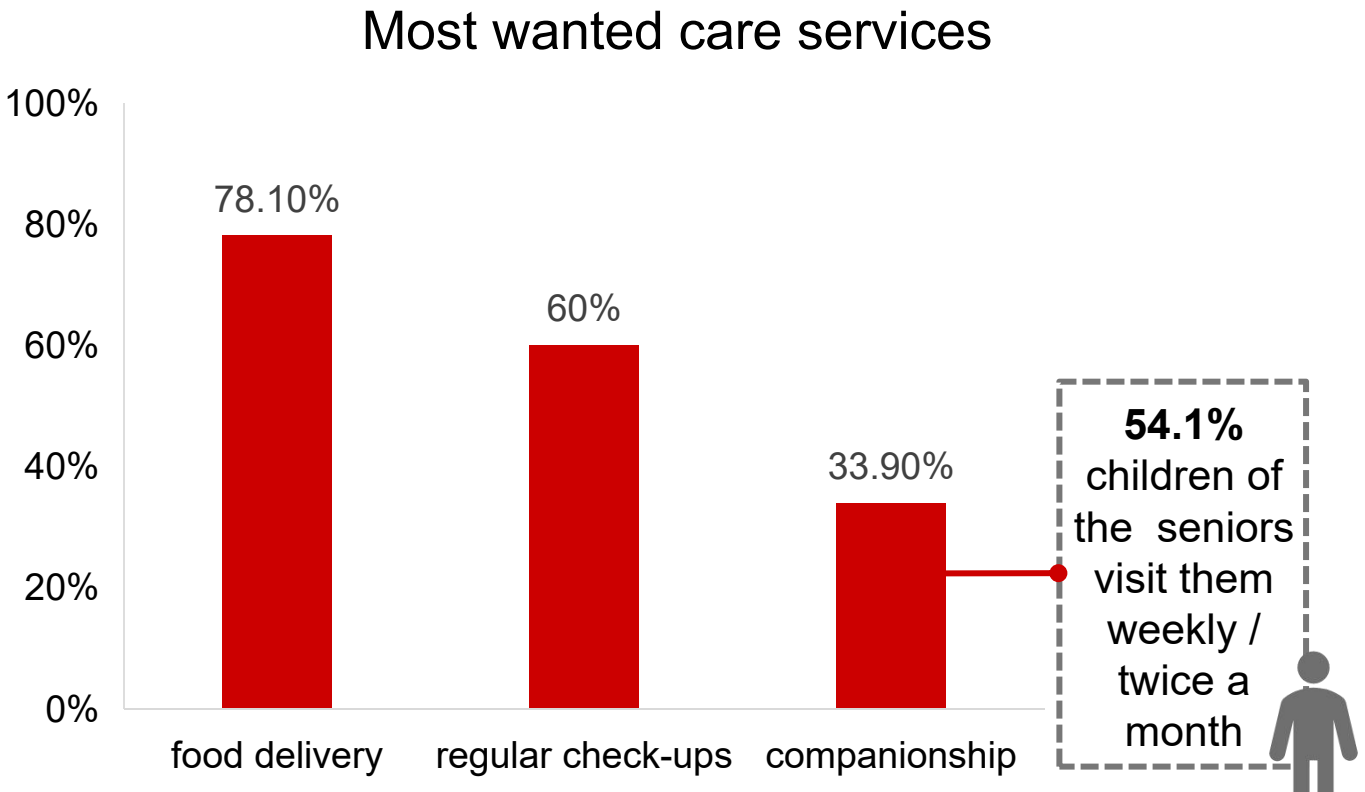


Target customers are sensible to product value
Higher quality of care services

Keep on Market advance

Growth strategy design: convenience and personalization are the top KPCs for target customers, which need to be further improved

Food delivery service, regular check-ups & companionship are the most wanted care services



Current care services need to be improved

Pain point

Lack of personalized care plans

Lack of specialists in elderly care services, especially young caregivers

Strategy

Quality&value strategy

- **Act as a supplement to the elderly care system**
- Offer food delivery & regular check-up choices

Quantity strategy

- Cultivate young caregivers
- Offer charity campaigns of senior care personnel

Location: Taking the Taikang communities as an example, we have predicted the next possible location and we will start our business there.

Location of CCRC Communities in China in 2023

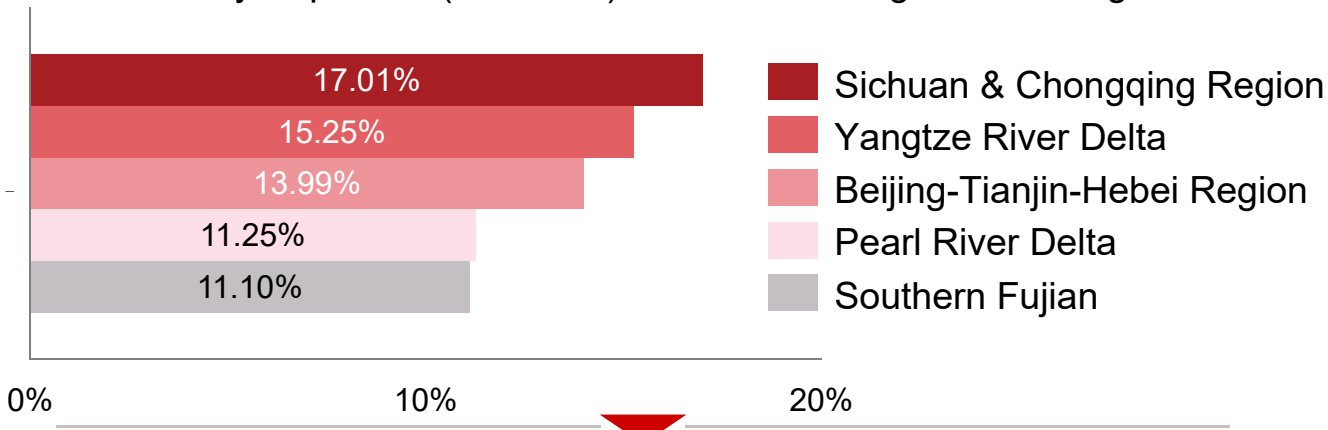


Main Regions

- North China
- Eastern China
- South China
- South-West
- North-East

The demand is mainly due to the number of elderly people

Elderly Population(above 65) Ratio of each high-income region



The *Sichuan-Chongqing region* has the **highest proportion of the elderly above 65**, followed by the Yangtze River Delta

Geograpraphical Location Features

Wide Expansion

- Taikang communities have located in **all regions of China**, with **over 11,000 residents**.

Aimed at people with high income

- Taikang communities locate mainly in big cities in developed areas such as the **Yangtze River Delta** with **high per capita disposable income**.

Yangtze River Delta

a high proportion of the elderly population and the number of elderly people, but there are many existing institutions whicth may lead to **fierce competition**

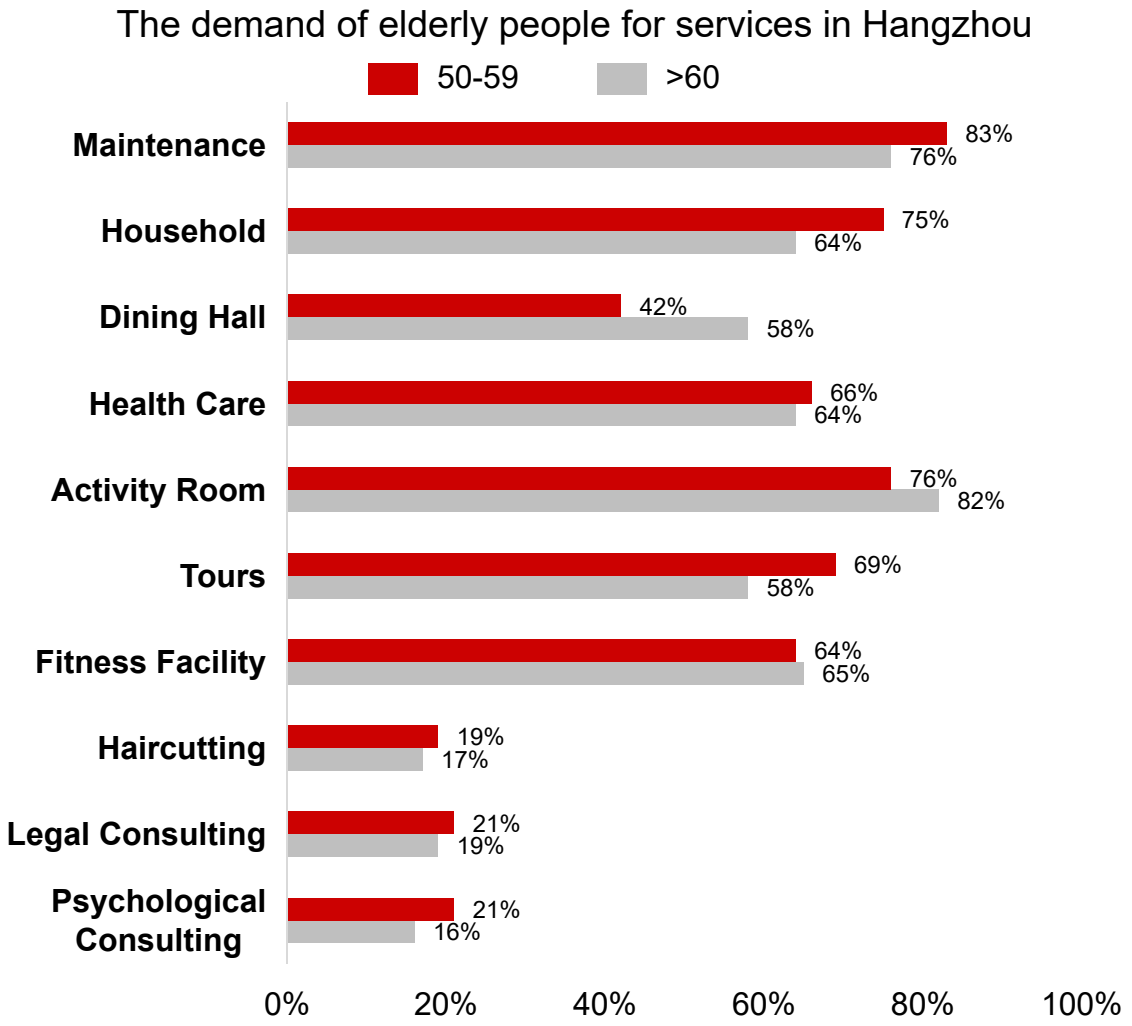
Sichuan and Chongqing region

a high proportion of the elderly population as well, but there are fewer existing institutions, **suitable for carrying out services**

source: Taikang co, NBS, 喝水只用贝恩analysis

Activities, health care and meals are the most valued services for the elderly, in which area we need to improve the quality of our services.

Seniors prefer recreational activity & essential assistance



Key Drivers

Living Assistance

- Maintenance
- Meals
- Households
- Health Care

1. ***Declining Physical Function***
2. ***Cognitive Impairment***
3. ***Aging Health Conditions***

Recreational activity

- Activities
- Tours

Physical & Psychological well-being

- opportunities for **social interaction** helps to alleviate social isolation
- recreational activities help elderly individuals **improve fitness and prevent health issues**

Service strategy suggestions

- strengthen the combination of living assistance such as health care & meals
- diversify recreational activities
- more services to ensure the elderly's living quality

source: expert interview, 喝水只用贝恩analysis

We chose to add a high usage service, with reviewing the effectiveness of Taikang.

Advantages & Risks of the Services

Activities	Advantages	Risks
Health service	• high integration • professional upstream supplier outsourcing services	• professional services require **high costs** • difficult to generate **returns to scale**
Meal service	• high integration with professional catering companies • low variable cost easy scale effect	• high **supervision requirements** • huge risk of **food safety**
Diversify entertainment activities	• low construction costs for chess/ calligraphy room • very low variable cost	• **large cost** of sports equipment • hidden **dangers and accidents** with those equipments

Taikang has provided various services to adapt to demand.

Service Needed	Taikang's facilities	Taikang's effect
Maintenace	house unified management, direct repairment	on par
Meals	pniform canteen and menu	well-performed
Health care	community equipped with a hospital, extremely fast treatment	well-performed
Household	professional cleaning staff	on par
Activities	university building for the elderly, various exhibitions, tourism activities	well-performed

source: Taikang co, 喝水只用贝恩analysis

To promote omni-channel customer experience ,Taikang should Play to strengths of offline channel, and upgrade its online channel

Phase

Initial projects

Online channel covers 80%

20% | 80% Online

Operating stability

Offline channel covers 70%

30% | 70% Offline

Taikang' marketing method should adjust to the phase

Drive traffic in Public Domain

Community operation upgrade

Marketing stars in online communities can stimulate potential demand



Shares and interactions can answering doubts on CCRC



Offline marketing operation

Family-endowment is more traditional



Hard to attract potential customers of CCRC

Offline marketings are relatively easy !

Act as KOL

- **Famous senior professors**
- ***The old-timers***
- **Promote Tailang's charity campaigns**

AGENDA

Market Trend Analysis

Strategy Design

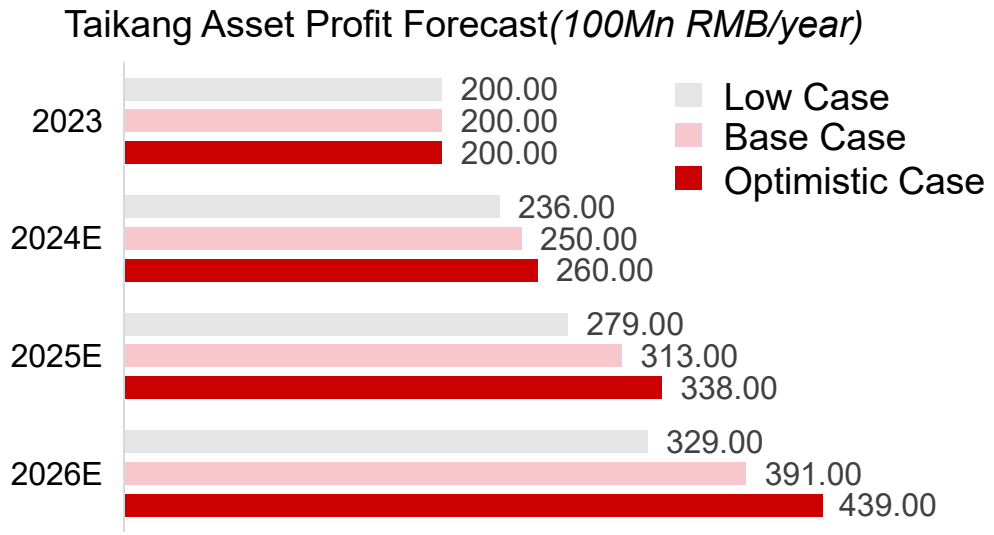
Implementation

- Financial Prediction
- Risk Analysis



Taikang's 3-year profit forecast

Taikang's 3-year profit forecast

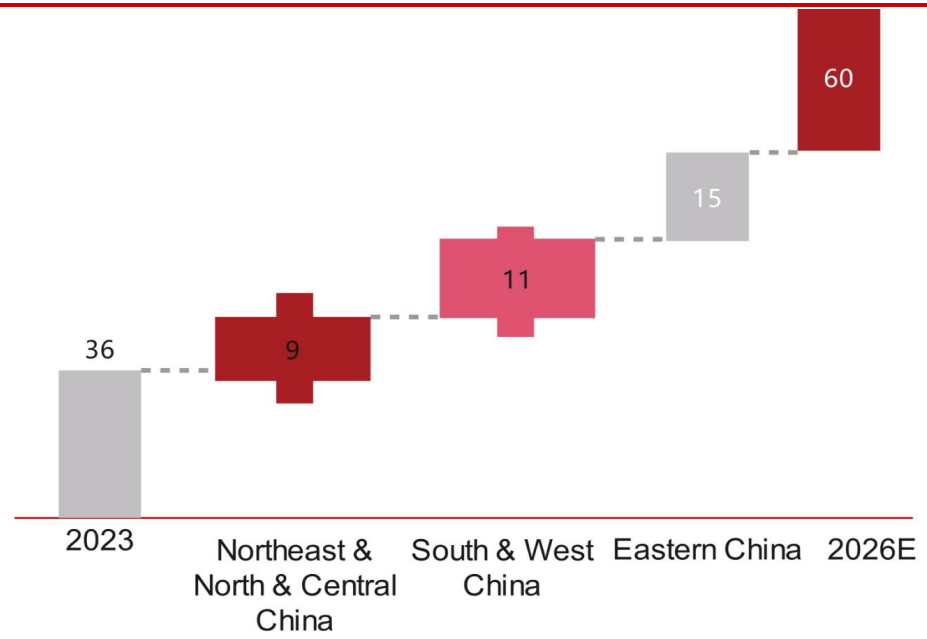


Taikang is expected to realize approximately RMB 39.6 billion in profit in 2026

Interpretation

- Driven by the expansion strategy, profit will at least experience an organic growth.
- Taikang will maintain CCRC market leadership for three years.

Contribution of the six national regions to the base case scenario



Key growth drivers

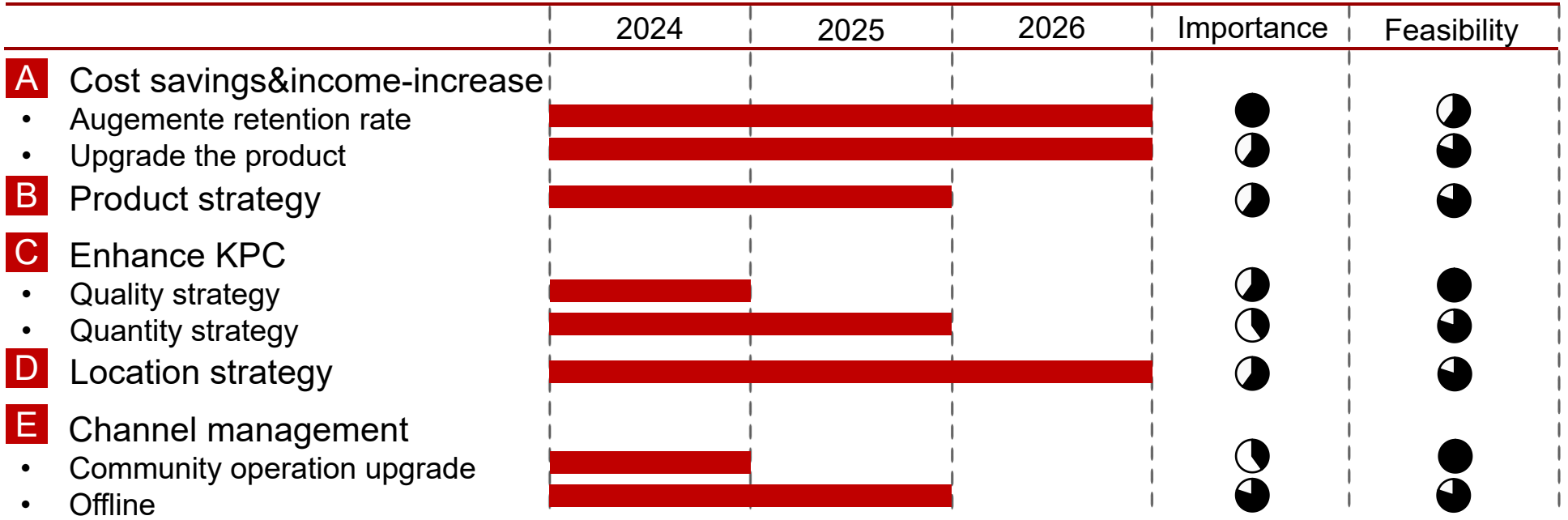
- Growing demand for elderly care services
- Service Expansion and Enhancement
- Brand premiums

Value creation levers

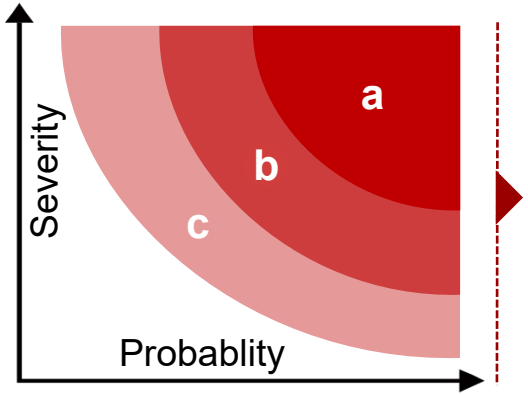
- Quality of service enhancement
- Cost control and efficiency gains
- Strategic cooperation, increase in business scale

Taikang should be prepared to recognize potential risks in advance and respond to them proactively.

Strategy Implementation Timeline & Risk Analysis



Three risks are prioritized for Taikang and corresponding mitigations are suggested



	Risk	Mitigation
a	• Changing laws and regulations • Changes in operating models and requirements	• Tracking changes in regulatory policies • Establishing flexible response mechanisms
b	• Rapidly changing markets • New entrants affecting market share	• Strengthening brand building • Enhance customer stickiness
c	• Quality of Service & Scandalous Events • Declining reputation of the organization	• Complaint Handling Mechanism • Timely response and handling of public